

EXECUTIVE SUMMARY

Product Line Profitability & Margin Performance Analysis

Prepared for Nassau Candy Distributor · Government Stakeholder Briefing

\$141,784 TOTAL SALES	\$93,443 GROSS PROFIT	65.9% AVG. GROSS MARGIN	38,654 UNITS SHIPPED
---------------------------------	---------------------------------	-----------------------------------	--------------------------------

Purpose

This analysis was commissioned to determine which products and divisions within Nassau Candy Distributor's portfolio genuinely drive profitability, as opposed to those that generate volume without commensurate financial return. The findings inform pricing, sourcing, and product-rationalization decisions and are intended to support transparent, evidence-based reporting to government and oversight stakeholders.

Key Findings

- The portfolio generated \$141,784 in total sales and \$93,443 in gross profit across 15 products and 3 divisions, for a blended gross margin of 65.9%.
- The Chocolate division accounts for 92.9% of total sales (\$131,693) and 95.1% of total profit (\$88,825), at a 67.4% average margin — the clear driver of overall performance.
- The Other division carries the weakest margin profile at 44.8%, roughly 23 points below the Chocolate division, despite contributing \$9,663 in sales.
- Just 4 of 15 products (26.7% of the portfolio) generate 80% of total gross profit, indicating a highly concentrated — and therefore risk-exposed — profit base.
- Two products fall into the high-sales, low-margin “risk zone”: Lickable Wallpaper (\$7,860 in sales at a 50.0% margin) and Kazookles (\$1,206 in sales at only 7.7% margin), the lowest margin in the entire portfolio.
- Wonka Bar — Scrumdiddlyumptious and Wonka Bar — Nutty Crunch Surprise are the strongest performers, with margins of 69.4% and 71.3% respectively, and should be prioritized for continued investment and shelf placement.

Division Performance Summary

Division	Sales	Gross Profit	Gross Margin
Chocolate	\$131,692.90	\$88,824.62	67.4%
Other	\$9,663.25	\$4,333.45	44.8%
Sugar	\$427.48	\$284.73	66.6%

Top Profit Contributors

Product	Sales	Gross Profit	Margin
Wonka Bar - Scrumdiddlyumptious	\$27,874.80	\$19,357.50	69.4%
Wonka Bar - Triple Dazzle Caramel	\$28,485.00	\$18,610.20	65.3%
Wonka Bar - Milk Chocolate	\$26,867.75	\$17,443.37	64.9%
Wonka Bar - Nutty Crunch Surprise	\$23,574.95	\$16,819.95	71.3%
Wonka Bar - Fudge Mallows	\$24,890.40	\$16,593.60	66.7%

Margin Risk & Recommendations

The following products warrant near-term review for repricing, cost renegotiation, or discontinuation:

Product	Sales	Margin	Concern
Kazookles	\$1,205.75	7.7%	Lowest margin in portfolio; cost structure review needed
Lickable Wallpaper	\$7,860.00	50.0%	High volume, below-average margin for its division

Recommendations

- Protect and expand shelf space and marketing investment for the top five Chocolate-division products, which together account for the majority of portfolio profit.
- Initiate a cost and pricing review for Kazookles given its 7.7% margin, the lowest in the portfolio, to determine whether repricing or discontinuation is warranted.
- Investigate the Other division's structurally lower 44.8% margin to identify whether it reflects sourcing costs, pricing strategy, or operational inefficiency.
- Given that 80% of profit is concentrated in just 27% of products, diversify the profit base over time to reduce dependency risk on a small set of items.
- Adopt the accompanying Streamlit dashboard for ongoing, real-time monitoring of margin performance as new order data becomes available.

Conclusion

This analysis replaces intuition-based portfolio decisions with a transparent, data-driven view of profitability. Nassau Candy Distributor's Chocolate division is confirmed as the primary value driver, while a small number of underperforming products present clear, addressable opportunities to strengthen overall margin health. These findings, together with the accompanying research paper and live dashboard, provide government stakeholders with a complete and auditable basis for oversight and decision-making.